

Credit Underwriting Policy (v2)

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This document sets forth the Credit Underwriting Policy (Version 2.0, Document ID: POL-CR-001-v2) for AEON Credit Service (M) Berhad, superseding Version 1.0 with effect from 1 January 2026. The policy prescribes comprehensive underwriting rules across consumer credit portfolios, introducing enhanced Net Disposable Income (NDI) criteria for households with three or more dependants pursuant to Circular CIR-2025-014, while reaffirming strict Debt Service Ratio (DSR) ceilings, CTOS credit tiering, adverse record declines, credit limit caps, and model governance controls.

Section 1.0 — Scope and Policy Objectives

This Credit Underwriting Policy (v2) applies to all credit assessment and underwriting operations within AEON Credit Service (M) Berhad ('the Company'). Effective 1 January 2026, this policy supersedes Credit Underwriting Policy v1 (effective 1 January 2025). The lending products governed under this policy comprise unsecured revolving credit (AEON Classic Visa, AEON Gold Visa, AEON Platinum Visa credit cards), Personal Financing-i (Tawarruq), Motorcycle Hire Purchase-i, Auto Hire Purchase-i, and Product (Objective) Financing. All underwriting officers, automated decision engines, and delegated approval authorities must adhere strictly to the standards defined herein.

Section 2.0 — Debt Service Ratio (DSR) Framework

Under Clause 2.1, the Debt Service Ratio (DSR) is established as a core measure of applicant repayment affordability. Under Clause 2.2, the maximum permissible DSR ceiling is set at 60% where the applicant's verified gross monthly income is below RM 3,000. Under Clause 2.3, where the applicant's verified gross monthly income is RM 3,000 or greater, the maximum permissible DSR ceiling is capped at 70%. Under Clause 2.4, the projected DSR calculated immediately after factoring in the proposed monthly instalment or minimum payment of the requested facility is binding and must not breach these thresholds under any circumstances. Under Clause 2.5, total monthly debt commitments must encompass all existing credit facilities reported in CCRIS/CTOS alongside substantiated unrecorded non-bank financial liabilities.

Section 3.0 — Net Disposable Income (NDI) Requirements

Under Clause 3.1, all approved credit applications must satisfy a mandatory minimum Net Disposable Income (NDI) floor of RM 1,500 calculated on a post-drawdown basis, after factoring in all statutory deductions, living expenses, and total debt service commitments when the requested facility is drawn in full. Under Clause 3.2, pursuant to Circular CIR-2025-014 dated 20 November 2025, an enhanced NDI floor of RM 2,000 post-drawdown is strictly binding where the applicant supports three (3) or more dependants. Credit applications failing to meet the applicable NDI threshold under Clause 3.1 or Clause 3.2 shall be rejected automatically without exception.

Section 4.0 — Credit Bureau and CTOS Scoring Assessment

Under Clause 4.1, a full credit bureau check comprising Bank Negara Malaysia's CCRIS and registered credit reporting agency (CTOS) data is mandatory for every applicant. Under Clause 4.2, applicants achieving a CTOS score of 700 and above are classified under the Prime Tier, qualifying for optimal risk-based pricing and automated processing channels. Under Clause 4.4, applicants possessing a CTOS score between 650 and 699 are assigned Standard Tier pricing and standard verification workflows. Under Clause 4.5, any application reflecting a CTOS score below 650 is barred from automated approval pathways and requires mandatory manual escalation to a Senior Underwriter for holistic risk appraisal.

Section 5.0 — Delinquency and Adverse Credit Records

Under Clause 5.2, any active or un-discharged bankruptcy record, pending or ongoing legal action, winding-up order, or Agensi Kaunseling dan Pengurusan Kredit (AKPK) distress tag identified in CTOS or CCRIS shall result in an absolute and non-appealable decline. Under Clause 5.4, an application must be declined if any existing credit

facility registered under the applicant's name reflects two or more months (2+ months) in arrears within the preceding 12-month window. Furthermore, applicants currently enrolled in an active AKPK Debt Management Programme (DMP) are categorically not eligible for any new unsecured credit facility from the Company.

Section 6.0 — Credit Limit Assignment and Facility Parameters

Under Clause 6.1, for applicants with a verified gross monthly income below RM 5,000, the maximum allowable aggregate initial credit limit across unsecured facilities shall not exceed two times (2x) the gross monthly income. Under Clause 6.2, for applicants with a verified gross monthly income of RM 5,000 or greater, the maximum initial credit limit is capped at three times (3x) gross monthly income. Under Clause 6.3, card and financing terms must observe product rules: AEON Classic Visa carries an annual fee of RM 0; Gold Visa RM 150 (waived upon 12 swipes per annum); Platinum Visa RM 400 (waived upon RM 30,000 annual spend); credit card finance charges are tiered at 15% p.a. for prompt payers, 17% p.a. otherwise, and 18% p.a. for accounts with 2+ late payments in 12 months; Personal Financing-i (Tawarruq) rates span 6.88% to 14.88% p.a. flat for RM 3,000 to RM 150,000 over 12 to 84 months; Motorcycle HP-i permits up to 90% margin for 12 to 60 months; Auto HP-i permits up to 90% margin for up to 108 months. Under Clause 6.4, the approved limit must never be utilized as an input feature in any predictive underwriting scoring model.

Section 7.0 — Underwriting Authority and Customer Complaints Handling

Under Clause 7.1, underwriting delegation of authority limits must be strictly adhered to by credit assessment officers, system administrators, and Senior Underwriters, precluding any unilateral override of hard policy caps. Under Clause 7.2, any customer dispute or complaint regarding an underwriting determination or fee assessment must be officially acknowledged within two (2) business days and definitively resolved within fourteen (14) calendar days. Unresolved complaints that cannot be reconciled internally within the stipulated timeframe must be escalated to the Ombudsman for Financial Services (OFS) in accordance with regulatory governance guidelines.

Section 8.0 — Model Governance, Validation, and Regulatory Compliance

Under Clause 8.1, all automated scorecards, algorithmic decision rules, and artificial intelligence models deployed within the credit underwriting pipeline must adhere to strict model governance protocols; specifically, the approved credit limit must never be an input feature to prevent circularity and target leakage. Under Clause 8.4, all credit underwriting models and business rules are subject to mandatory annual validation, independent internal audit review, and periodic stress-testing to guarantee continuous alignment with Bank Negara Malaysia guidelines on responsible financing.

Schedule / Reference Table

Policy Domain & Clause	Version 1.0 Rule (2025-01-01)	Version 2.0 Rule (2026-01-01)	Regulatory / Governance Reference	Underwriting Action & Impact
DSR Thresholds (Clauses 2.1, 2.2, 2.3, 2.4)	Max 60% DSR for income < RM 3,000; Max 70% DSR for income >= RM 3,000	Max 60% DSR for income < RM 3,000; Max 70% DSR for income >= RM 3,000 (Binding post-facility)	BNM Guidelines on Responsible Financing	System automated decline if projected post-facility DSR exceeds applicable threshold
Baseline NDI Floor (Clause 3.1)	RM 1,500 post-drawdown flat floor across all applicant profiles	RM 1,500 post-drawdown floor maintained as general baseline	Credit Policy Committee Review 2024	Mandatory minimum disposable income buffer post-drawdown
Dependant NDI Floor (Clause 3.2)	No specific dependant tier; flat RM 1,500 NDI floor applied universally	RM 2,000 post-drawdown floor where applicant supports 3 or more dependants	Circular CIR-2025-014 (Dated 2025-11-20)	Increased buffer of RM 500 required for large households; prevents over-indebtedness

CTOS Credit Bureau Tiering (Clauses 4.2, 4.4, 4.5)	Prime >= 700; Standard 650-699; Score < 650 referred to manual underwriter	Prime >= 700; Standard 650-699; Score < 650 barred from automation, Senior Underwriter review	AEON Credit Risk Appetite Framework	Stricter governance requiring Senior Underwriter sign-off on sub-650 bureau scores
Adverse Bureau & Arrears Rules (Clauses 5.2, 5.4)	Active bankruptcy, legal action, 2+ months arrears decline; AKPK DMP ineligible	Bankruptcy, legal action, AKPK flag absolute decline; 2+ months arrears decline; active AKPK DMP barred from unsecured	Insolvency Act / BNM Consumer Credit Code	Hard system stops preventing facility generation for high-risk and distressed profiles
Credit Limit Multipliers (Clauses 6.1, 6.2)	Max 2x income for income < RM 5,000; Max 3x income for income >= RM 5,000	Max 2x income for income < RM 5,000; Max 3x income for income >= RM 5,000	BNM Credit Card & Personal Financing Policy	Hard system cap on initial aggregate limit assigned across unsecured facilities
Model Feature Constraints (Clauses 6.4, 8.1)	Recommended exclusion of approved limits from predictive feature stores	Strict prohibition: Approved limit must never be a model input feature	AI Model Risk Governance Framework	Prevents endogenous bias, target leakage, and circular dependencies in automated scoring